

The way in which we choose to implement a simple momentum strategy is as follows: Calculate the cumulative returns to stocks over the past 12 months, ignoring the last month. We ignore the last month to exploit the empirical finding that there is a negative correlation of month-to-month returns (reversal rather than continuation).²³ Next, we sort stocks based on their cumulative 2- to 12-month past returns, and buy an equal-weighted basket of stocks from the top decile. We repeat this process each month.

Here is a simple series of returns to illustrate how to calculate the cumulative returns. To calculate the cumulative returns over the past 12 months (ignoring the last month), we take the return stream and add 1. Then, we multiply the series of (1 + return) and subtract 1. So the cumulative returns in December (momentum score) is calculated as follows:

$$(1.01)(1.02)(0.99)(1.01)(0.98)(1.05)(1.00)(1.01)(0.97)(1.04)(1.02) - 1 \\ = 9.07\%$$

Notice that we ignore the returns from December (−1.00%) when calculating the momentum score at the end of December (see [Table 8.5](#)). We simply need to do this for all stocks—buy the top decile, and repeat each month. If eliminating the last month is too difficult to implement for the DIY investor, it is not going to destroy the benefits of the momentum strategy if a DIY investor simply ranks stocks on the past one-year cumulative returns.